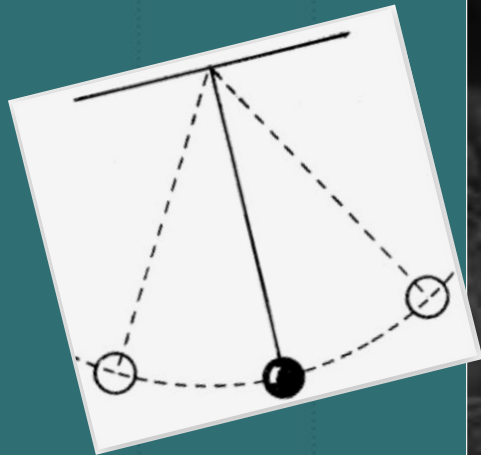


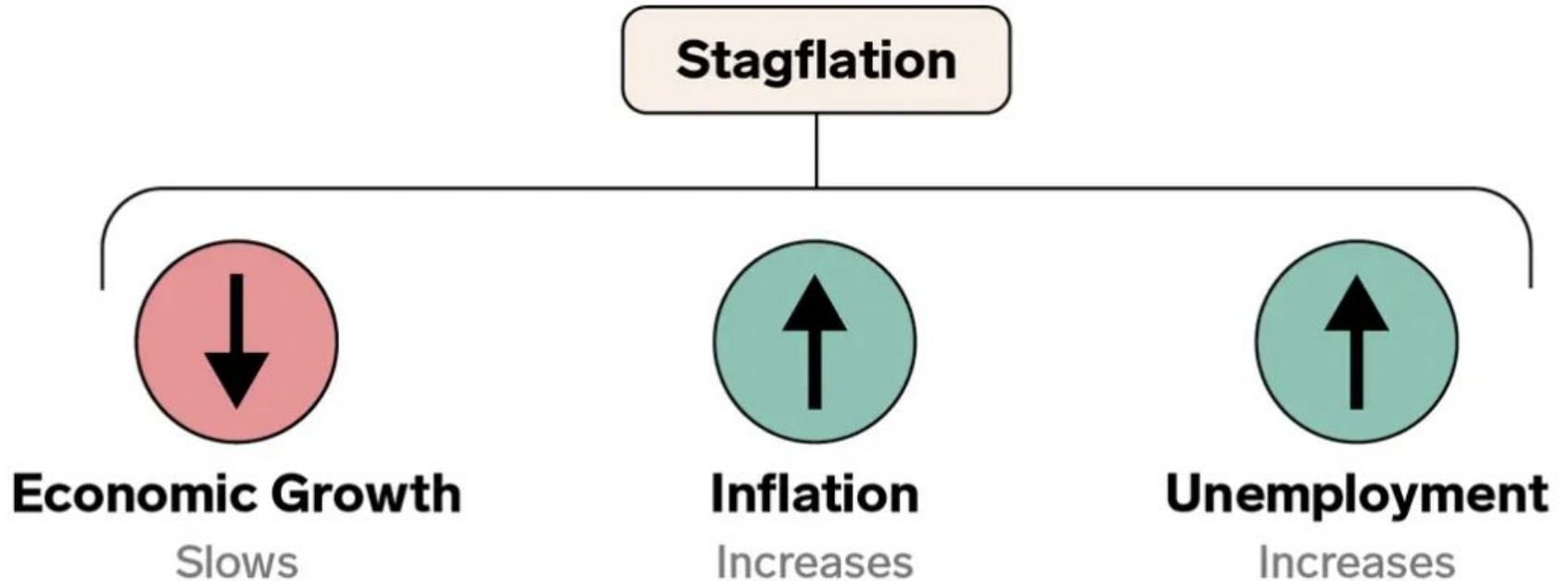
The Pendulum Starts to Swing Back To Classical Liberalism



Economic Crises of the 1970s

- ❑ In 1973, Egypt and Syria attack Israel.
- ❑ In response to American and Western European support of Israel during this time of conflict Organization of the Petroleum Exporting Countries OPEC reduced oil production and limited exportation.
- ❑ The price of oil quadrupled, causing gas shortages and rationing in the United States.
- ❑ This had a double effect of making goods more expensive (inflation) and a slow in the economy.
- ❑ When a recession and high inflation occur at the same time, it is known as **stagflation**.

What causes stagflation?



Stagflation

- ❑ The cost of maintaining the welfare state was rising due to inflation, the economic slowdown meant that governments collected less tax revenue. Governments had high debt and no money to spend.
 - ❑ Keynesian model looked to be broken
- ❑ This situation led to a shift in economic thinking, that a freer, more open and competitive market was needed to lower inflation and generate more wealth.

Enter Austrian Economics

F. A. Hayek



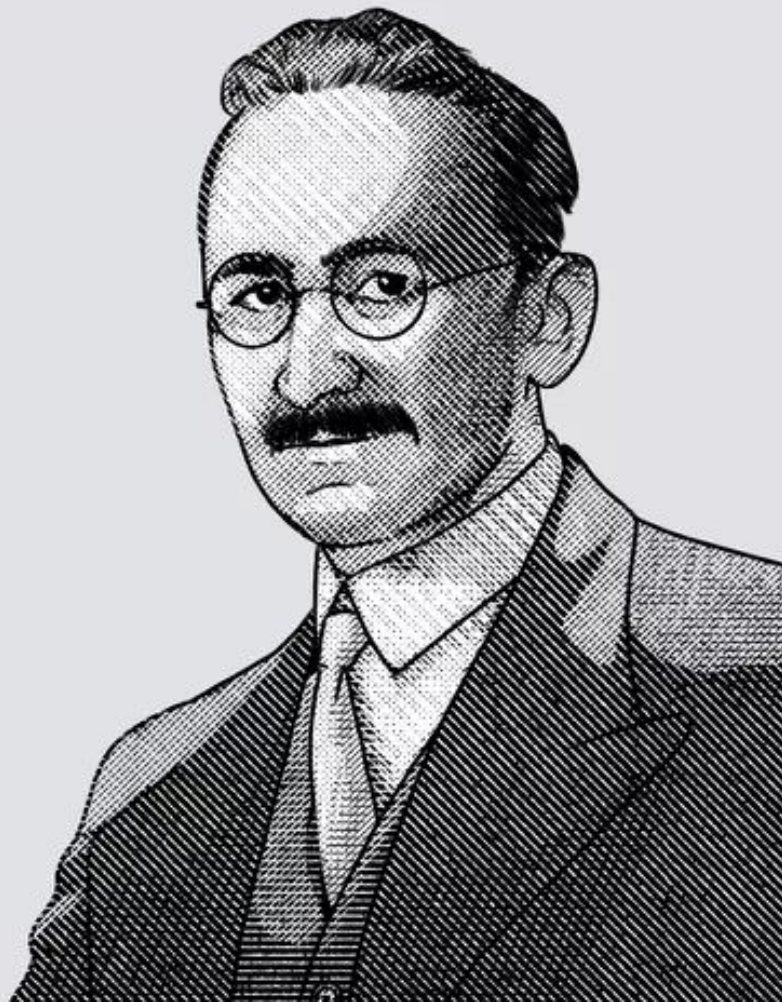
Friedrich Hayek

Born: May 8, 1899

Died: March 23, 1992

Economist

- 1974 Nobel Prize Recipient in Economic Sciences for his theory on how changing prices relay information that helps people determine their economic plan
- Proponent of the Austrian School of Economics
- Ardent defender of free-market capitalism and vehement opponent of socialism

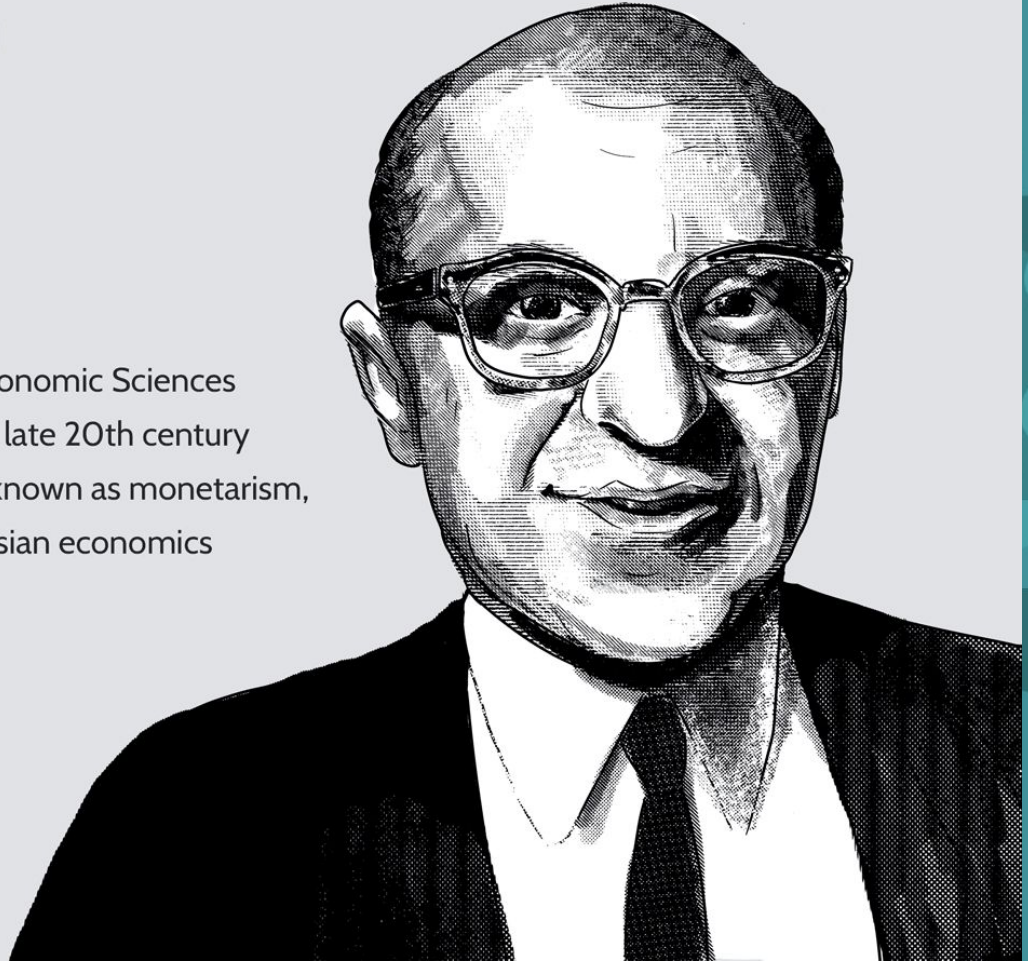


Milton Friedman

Born: July 31, 1912

Economist

- 1976 Nobel Prize Recipient in Economic Sciences
- A leading economic voice of the late 20th century
- His economic theories became known as monetarism, and refute key aspects of Keynesian economics



Explanation of Austrian Economics



Monetarism Review

- ❑ Another swing in the economic pendulum alternates between interventionism and the free-market economy is Monetarism.
- ❑ The theory holds that control of a country's money supply is the best means to encourage economic growth and limit unemployment and inflation.
- ❑ Their money supply is controlled through the regulation of interest rates.
- ❑ Economists like Milton Friedman and Friedrich Hayek believed that the price system, or the free market was the only way to balance supply and demand in the economy while maintaining individual liberty.

Monetarism

- ❑ The adoption of monetarism by Great Britain, the United States and others reflects a swing of the pendulum back to classical liberal principles and away from the interventionist practices of Keynesian economics.
- ❑ The intervention of governments during and after the Depression and WWII had established a modified market or a mixed economy – the intervention side of the pendulum swing – but the advice offered by Keynes had been only partially accepted by governments.

Reaganomics

- Name given to the American economic period under US President Ronald Reagan (1981-1989)



Reaganomics

- ❑ Trickle-Down Economics
 - ❑ Tax cuts to big business and the wealthy
 - ❑ Tax Reform Act of 1986 - Lowered top tax rate from 50% to 28% and raised the lowest tax rate from 11% to 15%.
 - ❑ Privatization and Deregulation
 - ❑ Cut social spending (social programs)
 - ❑ Fight inflation through monetary policy

REAGANOMICS

H
HISTORY

Thatcherism

- Name given to the British economic period under British Prime Minister Margaret Thatcher (1979-1990)
- Implemented Austrian Economics.



Thatcherism

- ❑ Known for tight control of the money supply (monetary policy)
- ❑ Union Busting
 - ❑ National Union of Mineworkers of 1984-1985 (coal miners Britain's largest state run industry)
 - ❑ Breaks the union and then privatizes the mine.
 - ❑ Passes Anti-union legislation to make it difficult for unions to function.
- ❑ Privatization

Summary of Free Market Economies

Some Perceived Advantages

- Competition between companies results in low prices, higher quality, and wider selection of goods.
- Efficiency is encouraged in use of resources and the operation of companies to keep production costs low.
- Technology and innovation are encouraged.
- Workers and owners are motivated to earn money and make profits.
- The economy can respond quickly to change.
- When a company is doing well, it can afford to pay its workers well. When there is a shortage of workers, a company will pay higher wages to attract and keep them.

Some Perceived Disadvantages

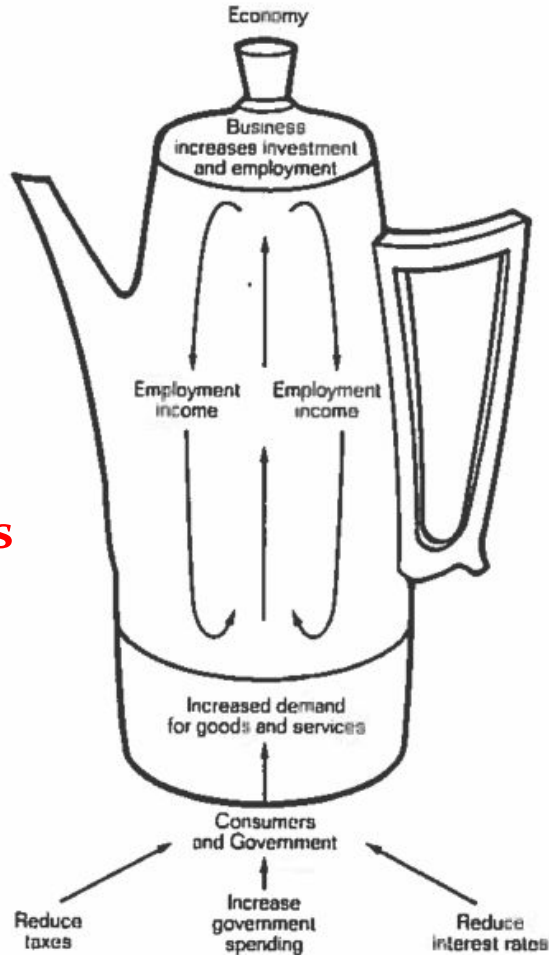
- A wide gap may exist between high- and low-income earners.
- The economy may go through periods of growth and inflation (boom) and recession or depression (bust).
- There may be periods of high unemployment.
- Product or service advertising can manipulate consumer demand.
- Producers can form **monopolies** and exert too much control over the marketplace.
- Sometimes resources can be used ineffectively, and the costs may affect everyone in society (for example, factory pollution or depletion of resources).
- Sometimes resources are wasted on goods that people want, but which they may not need.

DO TAX CUTS STIMULATE THE ECONOMY?

TEDEd

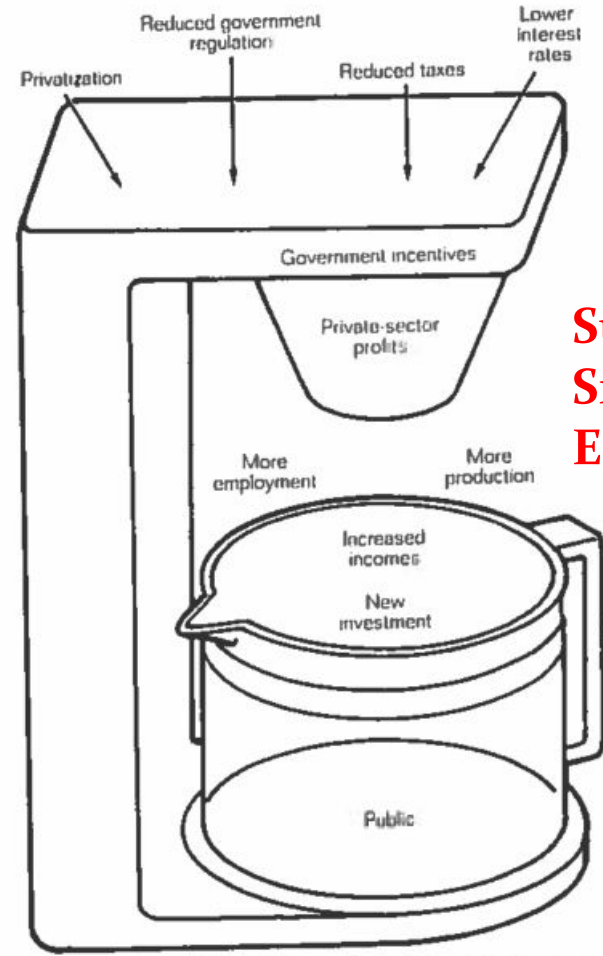


**Figure 9.3: The Keynesian Percolator-
Solving a Recession**



**Demand
Side
Economics**

**Figure 9.4: The Supply-side
"Drip-Down" Theory**



**Supply
Side
Economics**

Differences between Keynesian and Austrian Economics:

Interventionists (Keynesian Economics)	Laissez-Faire Capitalists (Austrian Economics)
● Very few citizens can prepare for the troughs of the business cycle, therefore many will suffer ● Government spending could stimulate the economy ● A lack of economic stability has led to Hitler's and Stalin's	● Markets will self-correct ● It is up to the individual to save during good times to prepare for bad times ● Too much government prolongs the trough or limits the recovery. Limits freedoms - "Road to Serfdom"

Where are we now?

From 1976 to 2008, Austrian Economics reigned and allowed for massive growth of industry around the world. Underlying issues with more laissez-faire policies start creating economic problems in through the early 2000s:

- Union busting, globalization (outsourcing), and computerization has led to a suppression of wages and loss of quality jobs for many Americans.
- Wealth has increasingly been concentrated in the hands of few corporate elites - Disparity
- Tax decreases from governments have led to massive deficits (increase in national debt)

Causes of the 2008 Collapse

- Deregulation led to fewer controls over the banking industry.
 - Wars in Iraq and Afghanistan had the US government worried about enough consumerism or spending so they kept interest rates low.
 - Deregulation allowed for relaxed rules on mortgages
 - Many people who should never have been allowed mortgages were able (over extended their credit)
 - This created a housing boom

Sound familiar?... A boom, warning signs, over-extension of credit....





In 2008, the world economy plunged into recession. The speed and depth of this plunge led many observers to immediately draw comparisons to the 1929 stock market crash and the Great Depression of the 1930s.

The term given to this period is called **The Great Recession**.

This combination of low interest rates, irresponsible consumer spending, investor greed, and lax government regulation set the stage for a financial crisis that would rock the entire globe.

The American Government Response was **bailouts and stimulus packages** to major financial companies and some major corporations such as GM and Chrysler to stop the economy from collapsing. A return to Keynesian economics. This didn't come without criticism from right wing politicians, especially after the introduction of the Affordable Care Act also known as Obamacare:

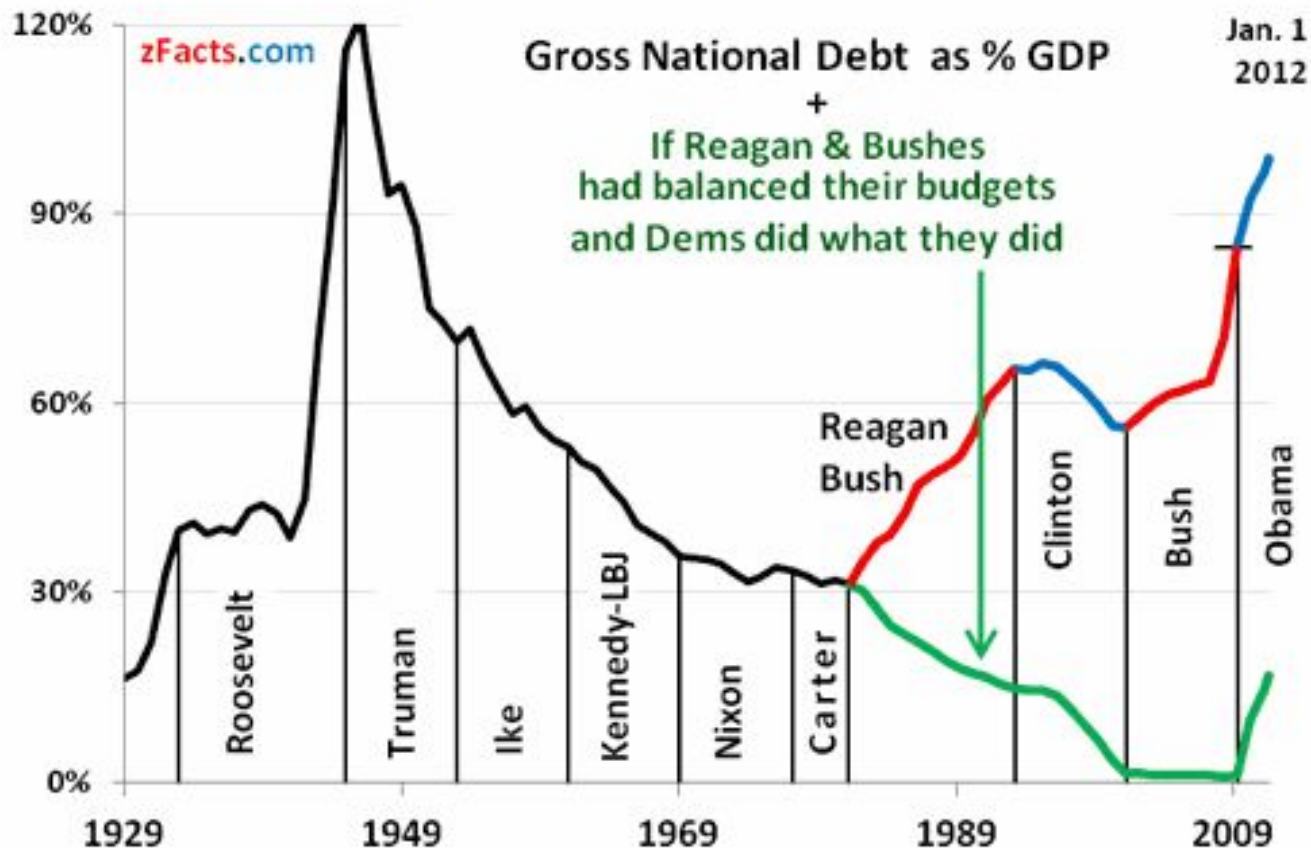


The pendulum keeps swinging...

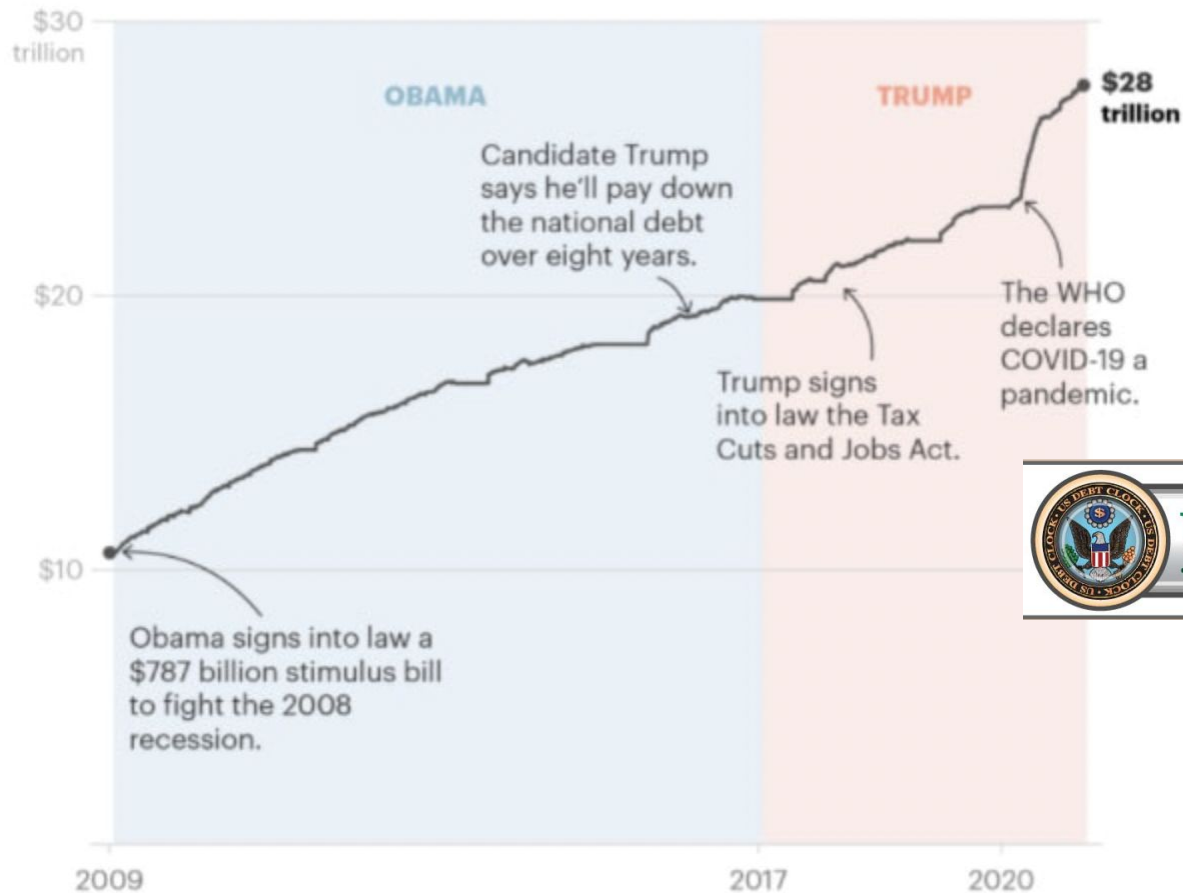


Trumponomics: The economic policy of the Donald Trump administration was characterized by individual and corporate tax cuts, attempts to repeal the Affordable Care Act ("Obamacare"), trade protectionism, immigration restriction, and deregulation focused on the energy and financial sectors.

National Debt Graph by President



Daily total national debt from 2009 to present.



US Debt Clock.org

Source: U.S. Treasury (Lena V. Groeger/ProPublica)

A Quick Guide to 'Bidenomics'



<https://www.thefiscaltimes.com/2021/04/08/Quick-Guide>

August 19, 2021

“You’ll forgive me if I don’t think about monetary policy”



October 21, 2021

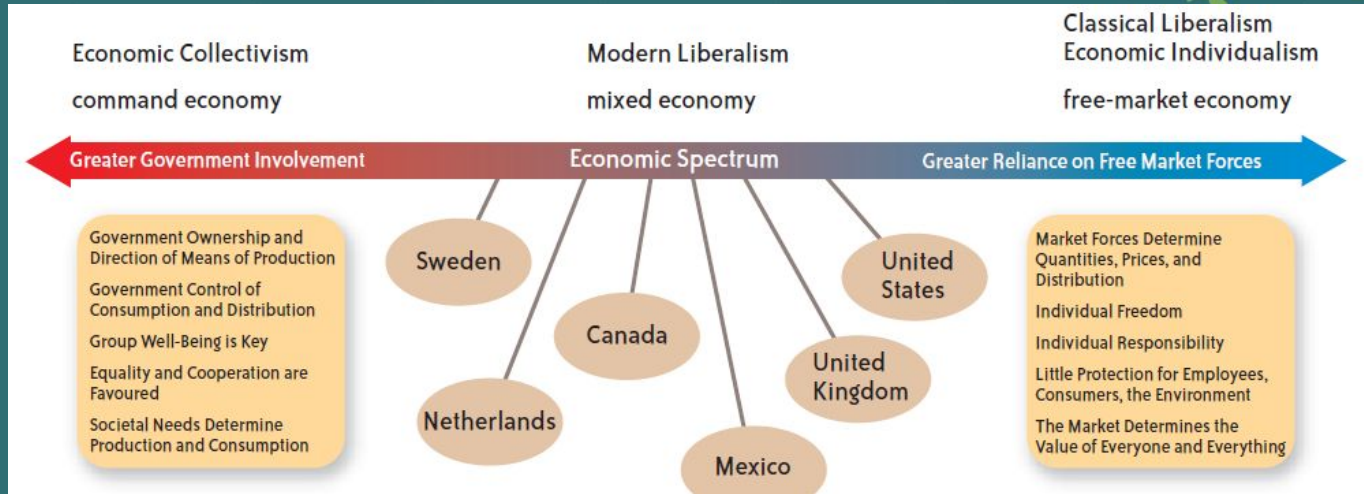
“CANADA’S INFLATION RATE HITS A FRESH 18-YEAR HIGH”

BBC NEWS | October 21, 2021



Chrystia Freeland and Canada’s push towards Keynesian Economics

Economic Liberalism Today



In addition, changes in governing parties often lead to changes in economic policy in liberal democracies.